

Grasim Industries Ltd

Nifty 100 Company Tearsheet | GRASIM

Industrials | Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

ROE

11.2%

ROCE

12.0%

Debt / Equity

1.55

Revenue CAGR 5Y

11.2%

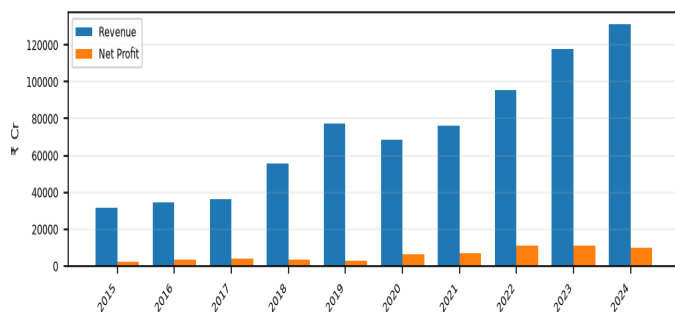
PAT CAGR 5Y

29.3%

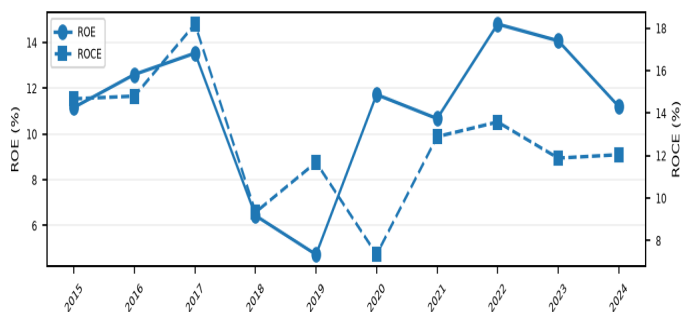
Free Cash Flow

■ -33,833 Cr

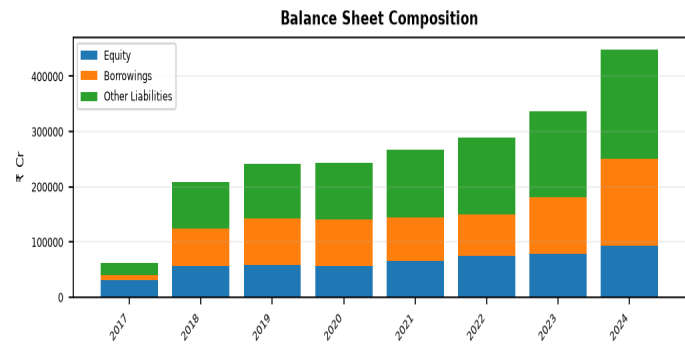
10-Year Revenue and Net Profit



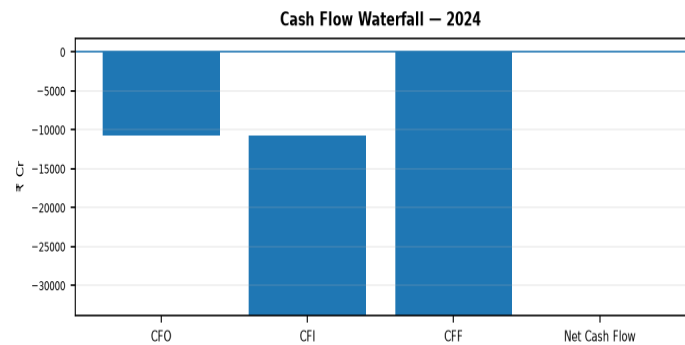
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Growth Funded by Debt